BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

25-E-XXXX, 25-G-XXXX

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Prepared Testimony of:

Clean Energy Transition

Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF THE CLEAN ENERGY TRANSITION PANEL

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I. Panel Introduction

A. Panel Introduction and Qualifications of Panel Members

Q. Would the members of the Clean Energy Transition ("Clean Energy") Panel ("Panel") please state your names and business addresses?

A. Our names are Vicky Kuo, Mary Kelly, Venetia Lannon, Steven Parisi, Patrick McHugh, Christopher Raup, Christina Ho and LaAsia Hundley and our business address is 4 Irving Place, New York, New York 10003.

Q. By whom are you employed and what are your current positions?

A. **(Kuo)** I am employed by Con Edison as the Senior Vice President of Customer Energy Solutions.

(Kelly) I am employed by Con Edison as the Senior Vice President of Gas Operations.

(Lannon) I am employed by Con Edison as the Vice President, Environment, Health and Safety ("EH&S").

(Parisi) I am employed by Con Edison as the Senior Vice President of Central Operations.

(McHugh) I am employed by Con Edison as the Senior Vice President of Electric Operations.

(Raup) I am employed by Con Edison as Vice President, Energy Policy and Regulatory Affairs ("EPRA").

(Ho) I am employed by Con Edison as Vice President, Strategic Planning.

(Hundley) I am employed by Con Edison as Vice President and Chief Procurement Officer for the Company.

Q. Please describe your educational backgrounds.

A. **(Kuo)** I hold a Bachelor of Science degree in Electrical Engineering and a Master's degree in Management from NYU Polytechnic School of Engineering.

(Kelly) I hold a bachelor's degree in Mechanical Engineering from Lehigh University, and a Master of Business Administration from Fordham University. I have also completed the PTI transmission course.

(Lannon) I hold a Bachelor of Arts degree from Vassar College and a Master's degree in Public Administration, focusing on environmental policy, from Columbia University.

(Parisi) I hold a Bachelor of Science degree in electrical engineering from Polytechnic University. I

have also completed PTI's Power Technology Course, PTI's Electric Distribution System Engineering Course.

(McHugh) I hold a Bachelor of Science degree in electrical engineering from Clarkson University, a Bachelor of Arts degree in physics from Plattsburgh State University, and a master's degree in electrical engineering from Clarkson University. I have completed the Siemens PTI Transmission course.

(Raup) I hold a Bachelor of Engineering degree in Mechanical Engineering from The Cooper Union for the Advancement of Science and Art in New York City, and a Master of Business Administration from the Rotterdam School of Management in the Netherlands.

(Ho) I have a Bachelor of Engineering Degree in Chemical Engineering from The Cooper Union for the Advancement of Science and Art in New York City and I hold a Master of Science Degree in Earth Resources Engineering from Columbia University as well as an MBA from the University of Pennsylvania. I have also completed the Siemens PTI Transmission course.

(Hundley) I hold a Bachelor's degree in Management from Johnson C. Smith University, and a Master's degree in Finance and Human Resources Management from Baruch College. I also hold a Juris Doctor degree from St. John's University, and I am a member of the New York State Bar.

Q. Please describe your work experiences.

A. **(Kuo)** I have been employed by Con Edison for over 26 years in a variety of positions with increasing responsibility within Customer Energy Solutions ("CES"), Electric Operations, Strategic Planning, IT, and with Con Edison Development. I also have ten years of experience building new products and developing new markets outside of the utility industry in both North America and Europe.

(Kelly) In 1990, I joined the Company's Corporate Intern Program and have since held positions of increasing responsibility in Gas Operations, Construction, IT, and Human Resources. In 2014, I was promoted to Vice President of Construction. In 2016, I became the Vice President of Gas Engineering. In 2017, I was promoted to Senior Vice President of Corporate Share Services.

Effective January 1, 2025, I assumed my current position as Senior Vice President of Gas Operations.

(Lannon) I joined Con Edison in April 2021. Prior to joining the Company, I was Vice President at Matrix New World Engineering, with market development responsibilities including climate adaptation services with a focus on nature-based systems for waterfront facilities, green infrastructure, and renewable energy. Before joining the private sector, I spent 20 years in public service, most recently as former Governor Cuomo's Deputy Secretary for the Environment. In this capacity, I served as environmental policy advisor to the Governor and his cabinet and oversaw the operations of the state's environmental agencies, including the Department of Environmental Conservation ("DEC"), the Office of Parks Recreation & Historic Preservation, the Environmental Facilities Corporation and the Adirondack Park Agency. Previously, I was appointed by former Governor Cuomo as Regional Director for the DEC, overseeing 200 staff and all aspects of the DEC's work in New York City. Prior to that, I held several positions working for the City of New York, as a Senior Vice President of the New York City

Economic Development Corporation ("EDC") and as Deputy Director of the Recycling Bureau at the New York City Department of Sanitation, where I was responsible for the composting program.

(Parisi) I joined the Company in 1989 as a management intern and have held general manager positions in System Operations, Electric Operations, and Substations. I assumed my current position in June 2022, after serving as Vice President of Engineering and Planning.

(McHugh) I have been with the Company for over 30 years after joining in 1991 as a Management Intern and have held various positions with increasing responsibility including Vice President of Engineering and Planning, Vice President of Brooklyn/Queens Electric Operations, Chief Engineer of Distribution Engineering, General Manager Protective Systems Testing, Senior System Operator, and Chief District Operator. I assumed my current position in July 2021, after serving as Vice President of Engineering and Planning for Con Edison.

(Raup) I have over 20 years of utility industry experience in a variety of positions of increasing responsibility, including from 1996 through 2004, working

at KeySpan Energy as a compressed natural gas ("CNG") station designer, CNG station operations manager, and project specialist in Strategic Planning; and since 2006, working at Con Edison as a project specialist in the Energy Markets Policy Group, project manager and, later, director in State Regulatory Affairs, project manager and, later, director in the REV Demonstration Projects group.

(Ho) I have over 20 years of utility business experience. I joined Con Edison in 2002 and have held various positions of increasing responsibility in Central Engineering, Customer Service, and Steam Operations Departments such as engineer and senior engineer. As the Energy Manager at Con Edison's Energy Control Center, I was responsible for control and real time dispatch of electric and steam generation resources in the Con Edison control area. I have additionally held positions as the General Manager of the Steam Services Department, Vice President of Customer Service for Orange & Rockland Utilities and Vice President of Steam Operations. In April of 2023 I became the Vice President of Strategic Planning.

(Hundley) I have been employed with Con Edison since 2001, holding positions of increasing responsibility in Human Resources, L&I, and Gas Operations, including: Department Manager of Employee & Labor Relations; Director of Talent Management; General Manager of Bronx Gas Operations; and Vice President of Facilities and Field Services. In September 2024, I became Vice President and Chief Procurement Officer within the Company's Supply Chain department.

Q. Please generally describe your current responsibilities.

A. **(Kuo)** In my current position as Senior Vice President of CES, I am responsible for leading a team that:

- develops and administers customer programs to advance the clean energy transition by encouraging customer adoption of clean energy technologies and
- oversees all customer service programs.

The CES portfolio includes administering clean energy and transportation incentive programs, implementing advanced customer metering, implementing tools to integrate customer clean energy technologies, such as distributed energy resources ("DER"), into the Company's energy

systems, assisting with distribution planning, and identifying future electrification infrastructure needs. In addition, the CES portfolio includes the Company's customer service programs, including customer outreach, meter reading, billing, answering customer inquiries and overseeing the administration of the Company's retail choice program that supports the competitive energy marketplace.

The CES Organization consists of the following: Customer Clean Energy Programs ("CCEP"), Distributed Resource Integration ("DRI"), Digital Products, AMI Operations and Solutions, Rate Engineering, and Customer Operations, which was integrated with CES in early 2024.

(Kelly) In my current position as Senior Vice President of Gas Operations, I am responsible for the overall Con Edison Gas Operations, Engineering and Compliance and Quality Assessment groups.

(Lannon) In my current position as the Vice President, EH&S, I am responsible for Con Edison's health and safety programs, including safety and fire code compliance, industrial hygiene, and special projects. I am also responsible for overseeing the Company's environmental

remediation, compliance, and pollution prevention programs, as well as leading Con Edison's environmental sustainability efforts, which focus in part on environmental justice and disadvantaged communities ("DACs").

(Parisi) In my current position as Senior Vice President of Central Operations for Con Edison my responsibilities include the planning, design, operation and maintenance (O&M) of the Company's electric transmission system, substations, primary control center, electric and steam generating plants, and steam distribution system. I am also responsible for the Company's engineering and construction activities.

(McHugh) In my current position of Senior Vice President of Electric Operations I currently have overall responsibility for Con Edison's Electric Distribution Operations, Engineering and Planning, and Con Edison's Energy Services organization, which coordinates all aspects of the delivery of electric service to customers.

(Raup) In my current position, as of January 1, 2022, I oversee the State Regulatory Affairs and Energy Markets Policy groups, with responsibility for managing the

regulatory relationship with our state utility regulators (the New York Public Service Commission ("Commission") and the New Jersey Board of Public Utilities) and federal economic regulator (the Federal Energy Regulatory Commission). The EPRA team also represents the Company at business meetings of the two independent system operators which the Company participates in (New York Independent System Operator ("NYISO") and PJM, Inc.) and coordinates the development and advocacy of energy policy positions for the Company, for example, our efforts to participate in the CLCPA implementation process.

(Ho) In my current position of Vice President of Strategic Planning I have responsibility for developing the strategic plans for the regulated utilities of Consolidated Edison Co. of New York Inc., as well as monitoring and analyzing market and technology trends affecting those plans.

(Hundley) In my current position as Vice President and Chief Procurement Officer, I am responsible for Procurement, Supply Chain, and Stores Operations functions for Con Edison and Orange and Rockland Utilities, Inc. ("O&R").

Q. Have you previously testified or sponsored testimony before the Commission or other regulatory bodies on energy matters?

A. **(Kuo)** Yes, I have submitted testimony in prior proceedings, including in Cases 19-E-0065, 19-G-0066, 22-E-0064 and 22-G-0065.

(Kelly) Yes, I testified before the Commission in the Company's last electric rate case proceeding as part of the Electric Policy Panel (Case 22-E-0064) and in previous gas rate case proceedings as part of the Gas Infrastructure Operations Panel (Case 16-G-0061).

(Lannon) Yes, I submitted testimony to the Commission in Cases 22-E-0064, 22-G-0065, and 22-S-0659.

(Parisi) Yes, I testified before the Commission in the previous electric rate case proceedings as part of the Electric Rate Case on the Electric Infrastructure and Operations Panel (Case 22-E-0064).

(McHugh) Yes, I testified before the Commission in the previous electric rate case proceedings including as part of the Electric Rate Case on the Electric Infrastructure

and Operations Panel in (Cases 19-E-0065 and 22-E-0064) and the CLCPA Panel (Case 22-E-0064).

(Raup) Yes, I have submitted testimony in Cases 22-E-0064, 22-G-0065, 22-S-0659, 24-E-0060, and 24-G-0061.

(Ho) Yes, I have submitted testimony in prior proceedings, including in Cases 22-S-0659 and 22-E-0064.

(Hundley) Yes. I submitted testimony to the Commission in the most recent Con Edison electric and gas base rate cases (Cases 22-E-0064 and 22-G-0065).

B. Testimony Purpose and Format

Q. What is the purpose of your direct testimony in these proceedings?

A. Our purpose is to explain Con Edison's overall approach to the clean energy transition and to demonstrate how the Company's proposals in these proceedings continue to help facilitate achievement of the goals of New York's Climate Law, the Community Leadership and Climate Protection Act ("CLCPA"), as well as related laws and Commission Orders. This testimony summarizes the investments and plans described throughout the testimony of various other panels submitted in this proceeding to describe how the Company is making investments in line with State and

customer goals and expectations. While the individual investments over the rate year(s) are described throughout, here we discuss our enterprise approach in line with our Clean Energy Commitment and Integrated Long-Range Plan and commitment to be a partner to achieve a clean energy future.

Q. How is your testimony organized?

A. We begin with a detailed background of the regulatory and legal landscape associated with the clean energy transition to set the context for the work the Company is planning both in this investment plan and in other arenas to support the CLCPA and the clean energy transition without losing focus on our core priorities of safety and reliability, building clean and resilient energy systems, and customer experience and affordability. We then describe how the investments in this plan align with the Company's approach to the clean energy transition as outlined in the Integrated Long-Range Plan, focusing on modernizing our infrastructure, enhancing core service, transforming energy supply, and enabling change in energy consumption. In particular, we highlight some examples of proposals in this plan that facilitate CLCPA goal

achievement and that are necessary for the Company to continue preparing to meet rising demand and customer expectations. Additionally, recognizing the importance of equity and affordability, we will describe how investments in this plan will continue the Company's focus on customers in disadvantaged communities and improvements to existing programs to help our most vulnerable customers enrolled in the Energy Affordability Program ("EAP"). As part of this discussion, we highlight a new pilot the Company is proposing to provide additional bill credits to EAP customers in certain affordable multifamily buildings that transition from landlord-paid heating to tenant-paid heating. We will also describe how the Company is expanding its ability to address environmental justice concerns.

Q. Does your testimony address any other issues related to the clean energy transition or the CLCPA?

A. Yes, consistent with recent PSC Orders, the Company provides projections of the greenhouse gas ("GHG") emissions reductions the proposals presented in these proceedings are anticipated to achieve. Finally, we discuss other actions we are taking in proceedings to

further the clean energy transition – both prior to and after enactment of the CLCPA.

II. Clean Energy Transition Background

A. Overview of the Clean Energy Transition

Q. What is the clean energy transition?

A. The clean energy transition describes the State's move away from carbon-intensive energy to clean energy generation and customer technologies, like DER and electrification. When we refer to the clean energy transition, we refer to the various goals included in the CLCPA and other state, federal, and New York City climate laws.

Q. What is the CLCPA?

A. The CLCPA is New York State's climate change, clean energy, and environmental justice act.

Q. Are you familiar with the CLCPA?

A. Yes. But as non-attorneys our testimony is not intended to address questions of legal interpretation regarding the CLCPA, or for that matter, any enacted or proposed legislation or regulations.

Q. What are the CLCPA's clean energy requirements related to electricity?

A. The CLCPA requires 70% of statewide electric generation to be renewable by 2030 and 100% of the statewide electrical demand system to be zero-emissions by 2040. In addition, the CLCPA requires the Commission to develop programs to procure 9 GW of offshore wind by 2035, and 10 GW of distributed solar by 2030. While the CLCPA requires that 3 GW of energy storage be procured by 2030, New York State is working to achieve 6 GW of energy storage by 2030.

Q. What are the CLCPA's emissions reduction requirements?

A. The CLCPA establishes statewide, economy-wide emissions reduction targets of: (1) 40% from 1990 levels by 2030; (2) 85% from 1990 levels by 2050; and (3) a goal of net zero emissions by 2050.

Q. Are there other significant clean energy laws that affect Con Edison and the clean energy transition?

A. Yes. There are several state, federal, and New York City laws and regulations aimed at facilitating the clean energy transition. With respect to State law, the All

Electric Buildings Act prohibits the installation of fossil-fuel equipment and building systems in new buildings with fewer than seven stories beginning in 2026, and taller buildings by 2029 (N.Y. Energy Law § 11-104(6)(b)). To reduce motor vehicle emissions, which are the single largest source of statewide GHG emissions, the State has adopted Low Emissions Vehicle and Zero Emissions Vehicle standards by incorporating California's Advanced Clean Trucks regulation in 2021 and its Advanced Clean Cars II regulation in 2022. Separately, New York State enacted a goal that all passenger vehicles and trucks sold in the state be zero emissions by 2035 (Environmental Conservation Law § 19-0306[B]). Together, these statutory and regulatory changes are expected to provide substantial encouragement for the widespread adoption of electric vehicles.

With respect to New York City laws, the New York City Council enacted a phaseout of natural gas and fuel oil use in new buildings (2021 N.Y.C. Local Law No. 154, N.Y.C. Admin. Code §§ 28 -506.1). Specifically, the City law requires new buildings to be constructed with only electric connections for cooking, heating, and service

hot water. New York City has also enacted a law that seeks to reduce GHG emissions from the city's largest buildings (*i.e.*, over 25,000 square feet) by 40% by 2030 and to net zero by 2050 (2019 N.Y.C. Local Law No. 97, N.Y.C. Admin. Code 28-320).

Q. Does the Company support the CLCPA and other clean energy laws?

A. Yes. These laws align with the Company's commitment to advancing electrification and moving away from fossil fuels. Additionally, the requirements for new buildings and zero emissions vehicles are clear policy signals to customers concerning the clean energy transition.

B. Con Edison Advocacy in Support of Clean Energy Transition

Q. Are there pending regulatory actions that affect the clean energy transition?

A. Yes. New York Cap and Invest ("Cap and Invest") and the Department of Public Service ("DPS") straw proposal in Case 20-G-0131 ("Staff Straw Proposal") regarding practices related to customer interconnections to natural gas distribution systems are two examples that will materially impact the clean energy transition, and where

the Company is supportive of the State's efforts to advance the clean energy transition.

Q. What is Cap and Invest?

A. Cap and Invest is a forthcoming program run by the New York Department of Environmental Conservation ("DEC") and the New York State Energy Research and Development Authority ("NYSERDA") that will place an upper limit on GHG emissions statewide. Through the sale of emissions allowances, the program will generate revenues to invest in technologies and other methods to enable the State's clean energy transition.

Q. Does the Company support Cap and Invest?

A. Yes, Con Edison supports a well-designed Cap and Invest program that considers impacts to utility customers and residents and helps achieve CLCPA goals in a cost-effective manner.

Q. Please explain.

A. A well-designed Cap and Invest program should provide a sufficient financial incentive to accelerate a switch from fossil fuels to low-carbon alternatives. Additionally, the State can increase equitable access to clean energy

by using program revenues for energy affordability and addressing gaps in existing clean energy programs. We have been advocating that Cap and Invest funds be used to fully fund and expand the currently ratepayer-funded Energy Affordability Program. Finally, Cap and Invest should be integrated with existing programs and policies such as the Commission's Clean Energy Standard for developing new renewable electric generation resources and the Regional Greenhouse Gas Initiative, a multi-state effort supported by regulations and legislation which beginning in 2005 established a price on CO2 emissions in the electric generation sector.

Another way to make Cap and Invest a well-designed program is by not applying it to the electric power sector. Including the electric power sector will not result in meaningful GHG emissions reductions in the electric generation sector and will instead slow the decarbonization of other sectors such as transportation and buildings by increasing the cost of electricity and discouraging customer adoption of low-carbon electric-powered alternatives to fossil-fueled uses such as heat pumps and electric vehicles.

Q. Please explain the Staff Straw Proposal related to gas service entitlements.

A. The Staff Straw Proposal would modify Part 230 of the Commission's regulations. Part 230 establishes regulatory subsidies for customers' gas connection costs that go beyond existing statutorily required subsidies. To the extent the regulations are modified, the Commission would reduce those subsidies and related incentives to increase gas usage and expand the gas system.

Q. Does the Company support the Staff Straw Proposal?

A. Yes. The regulations in Part 230 that incentivize increased gas usage and expansion of the gas distribution system conflict with important New York State clean energy policy goals. These provisions were adopted at a time when state policy actively encouraged increased gas usage and new customer connections. Today, state and local laws, as well as orders issued by the Commission itself, seek to reduce or eliminate GHG emissions associated with gas usage by promoting alternatives to gas and discouraging new gas connections. The Staff Straw Proposal recognizes the disconnect between certain provisions in Part 230 and current state policy. The

Company supports the recommendations in the Staff Straw Proposal to better align Commission regulations with current state policy.

III. Con Edison's Approach to the Clean Energy Transition

A. Con Edison's Integrated Long Range Plan

Q. How will the clean energy transition affect Con Edison's electric and gas businesses?

A. The clean energy transition is expected to have a significant impact on the Company's electric and gas business. Generally speaking, because of the laws and proposed regulations we have discussed, it is anticipated that over time Con Edison will deliver less gas and more electricity as customers adopt electric appliances for heating and cooking, and as customers adopt electric vehicles.

Q. How is the Company preparing for these changes?

A. The Company is fully supportive of these changes. The Company's Integrated Long-Range Plan (the "Plan") (attached as Exhibit ___ (CETP-1)) articulates the planning and investment strategy needed to ready New York's energy systems in the long term – as opposed to

one year or even a multiyear investment plan. It provides a cohesive outlook on how the Company intends to reduce emissions and make capital investments across electric, gas, and steam operations as the clean energy transition unfolds. The Plan is consistent with the Company's Clean Energy Commitment, which reflects how Con Edison is working across all commodities and operations to support New York State and City climate laws.

The Plan is used to help us achieve our Clean Energy Commitment by applying the strategy outlined below:

1. **Enhance Core Services**: Promote safety; maintain first-class reliability; and deliver an outstanding customer experience.

2. **Enable Changes in Energy Consumption**: Drive growth in energy efficiency and building electrification; facilitate transportation electrification; and employ digital tools to enable such changes by customers, DER providers, and other third parties.

3. **Modernize Our Infrastructure**: Reduce emissions across the energy system; construct a more resilient energy

system; enable grid flexibility; utilize advanced system planning; and develop new electric system capabilities.

4. **Transform the Energy Supply**: Support development of low-carbon fuels; decarbonize the steam system; invest in transmission to interconnect renewable energy generation; and advocate for utility-owned renewable electricity generation.

Q. Please summarize the Plan.

A. The Plan starts with an overview of our continued focus on our core services - best in class safety, reliability, and customer service – and describes representative pathways to net-zero emissions to compare with our current forecasts, which reflect a projected level of clean energy technology adoption based on legal and policy frameworks in place today.

Q. How does the Plan shape the Company's proposals in these rate proceedings?

A. Consistent with the four main components of the Plan's strategy described above, the Company proposals are developed to emphasize certain key goals. Investments are required to maintain the high level of safe and reliable

service that our customers deserve and to meet our customers on their decarbonization timeline. The gas capital investment plan shifts spending to where we anticipate lasting benefits, while the electric capital investment plan seeks to add capacity and support customers on their path to electrification.

B. Clean Energy Transition Investments

i. Enhance Core Services

Q. What investments are you proposing that enhance core services?

A. Customers expect energy to be delivered safely and reliably with customer service that meets or exceeds expectations. The Company is proposing investments so that the transition to clean energy does not come at the expense of reliable service and customer satisfaction.

Q. Please explain how the Company's proposed IT investments will help to advance the clean energy transition.

A. IT systems and platforms enable the complex data management, analysis, optimization, controls, and sharing of information with customers required to achieve the State's ambitious clean energy policy goals. Foundational enterprise-level IT initiatives are critical for

providing visibility into, communicating with, and coordinating grid operations with customer and utility distributed energy technologies to support continued safe and reliable service, and customer information tools play an important role in accelerating customer adoption to keep pace with clean energy policies.

Q. Is the Company planning any IT investments or proposed programs that will support the achievement of the CLCPA's goals?

A. Yes, the Company is proposing five investments, further discussed in the direct testimony of the Company's IT Panel, in support of achievement of clean energy goals: (1) REV-Grid Modernization ("REV-DSP"), which focuses on continuing and enhancing existing clean energy enabling IT systems and associated hardware; (2) Integrated Grid Management Visualization Optimization ("IGMVO"), which will advance the connection of distributed energy resources ("DER") to the grid and realizing their benefits by expanding the Company's current technology capabilities, including through a phased Distributed Energy Resource Management System ("DERMS") deployment; (3) the Grid Edge Renewable Laboratory ("GERL"), which

will evaluate new clean energy technology integration by using software and computer hardware for monitoring, control, process management, and data analytics applications; (4) Customer Analytics, Reporting and Engagement ("CARE") program, which provides customers with information to support their adoption of clean energy technologies; and (5) Building Energy Usage Portal project ("BEUP") which enhances the Company's existing customer data benchmarking portal.

Q. Is the Company planning any customer service investments and proposed programs that will support the achievement of the CLCPA's goals?

A. Yes, the Company is proposing programs and investments to enhance customer service and assist in the transition for lower income households.

Q. Are there any programs to broaden knowledge of the clean energy transition among customers?

A. Yes, as discussed by the Shared Services Panel, our investment proposal includes a project to transform vacant ground floor retail space located at Con Edison's 4 Irving Place headquarters into a Clean Energy

Collaboration Space for public engagement and education on topics central to the energy transition. The venue will serve as a multi-purpose space with the ability to showcase clean energy technologies and host public information sessions, briefings, career training programs, community forums, and other events on matters relating to the energy transition. The Company will also use the space to host required stakeholder and collaborative meetings in Commission proceedings.

The Clean Energy Collaboration Space will offer an opportunity for members of the public, including those belonging disadvantaged communities, to meaningfully engage with and learn about New York's clean energy grid of the future.

Additionally, the Company is proposing to expand its Customer Outreach program. The expansion will focus on outreach to DACs and will incorporate multilingual communications. The outreach and educational efforts are designed to increase adoption of energy efficiency and clean energy programs.

Q. What types of energy affordability programs does the Company offer?

A. The Company offers energy affordability and energy efficiency programs that aim to support our low and moderate income customers. As of December 2024, the Company had 449,684 customers enrolled in its EAP, which aims to limit customer utility costs to six percent of average annual income. The Company proposes to increase program resources to better serve all customers enrolling in the EAP, including those in the self-certification and annual recertification process. In addition, our affordable multi-family energy efficiency programs served 150,000 households in 2024.

Q. Are there any other proposed investments or programs focused on affordability or DACs?

A. As discussed by the Shared Services Panel, the Company is proposing to create a Disadvantaged Communities Environmental Justice Program. The program will work with communities to identify priorities and develop joint initiatives.

ii. Enable Change in Energy Consumption

Q. In this electric rate case, is the Company making electric transmission and distribution ("T&D") investments and proposing programs that support the clean

energy transition and enable changes in energy consumption?

A. Yes, the Core investments described in the Company's Electric Infrastructure and Operations Panel ("EIOP") direct testimony either facilitate interconnection of future renewable generation supply into the Company's service territory or provide additional electric system capacity to accommodate increased load due to electrification of transportation and buildings. In addition, the System Expansion investments described in the EIOP testimony are based on the Company's Electric Load Growth Forecast, which includes growth due to increased deployment of Electric Vehicles and their charging stations as well as electrification of heating. This forecast is discussed in more detail in the EIOP testimony. Together, the Company's proposed investments will put in place capacity needed to supply customers who transition from internal combustion vehicles and oil and gas burning space and water heating to electric vehicles and electric heat and hot water.

Q. Are there any programs to enable the transition for low income customers that the Company is planning to pursue?

A. Yes, as discussed by the Company's Customer Energy Solutions Panel, the Company proposes to design and implement an Affordable Multifamily Electrification Pilot ("Affordability Pilot") that will provide bill credits to tenants in naturally occurring affordable housing ("NOAH"), *i.e.*, housing not regulated by city or state housing agencies, and residents in low-income cooperative buildings to mitigate the cost shift that occurs when their buildings move from centralized fossil heating to decentralized in-unit heat pump systems tied to tenant meters. The Affordability Pilot will allow the Company to collect new information to produce an analysis of the heating cost shift that would have occurred absent the credit. The Company will accompany its analysis with a set of policy, technology and/or program recommendations supported by engagement from affordable housing stakeholders.

Q. Please describe the Company's approach to developing EAMs for these base rate filings.

A. Fundamentally, EAMs are designed to encourage the Company to perform above and beyond the level of service customers should expect for the benefit of customers and to support achievement of policy objectives. As the

Company plays a central role in helping the State achieve the CLPCA's goals, EAMs can provide the enterprise focus for the Company to create valuable outcomes. Well-designed incentives can encourage utilities to innovate to provide value to customers and New York State in many areas, including through the delivery of services and programs at costs or timelines below historic or projected baselines, the identification of opportunities to avoid incremental capital investment, and in increasing customer participation in programs to levels that exceed expectations or historical performance.

Q. Please summarize the EAMs that the Company is proposing in these proceedings and the basis for this proposal.

A. The Company proposal, which builds on the successful metrics developed in the 2022 rate case, includes eight EAMs:

1) Demand Response ("DR"): Incentivizes the Company to increase participation in DR programs;
2) DER Utilization Solar: Incentivizes the Company to support the interconnection of DER solar;
3) DER Utilization Storage: Incentivizes the Company to support the interconnection of DER storage;

4) Light-Duty Vehicle Emissions: Encourages Company efforts to accelerate light-duty EV adoption and decrease lifetime CO2e (carbon dioxide equivalent) emissions;

5) Bus Emission: Encourages Company efforts to accelerate electric transit and school bus adoption and decrease lifetime CO2e emissions;

6) Transportation Interconnection: Incentivizes the Company to reduce the average timeline for transportation electrification projects from application to energization;

7) Residential Managed Charging: Incentivizes the Company to increase EV enrollment in the SmartCharge New York managed charging program and encourage program participants to avoid charging during system peak hours; and

8) Commercial Managed Charging: Incentivizes the Company to increase EV charging station enrollment in the SmartCharge Commercial managed charging program and encourage program participants to reduce charging during network peak hours.

The CES Panel discusses the details of each of these EAMs, including how they will be measured, their baselines and targets, and how each of these EAMs benefits customers and advances the goals of the CLCPA and New York State's clean energy transition.

iii. Modernize Our Infrastructure

Q. What types of investments are you proposing to modernize infrastructure?

A. Investments to modernize infrastructure include those that use advanced system planning, reduce emissions, and enable grid flexibility.

Q. You mentioned that Con Edison has changed its electric and gas system planning to reflect the clean energy transition. How so?

A. The Company has changed its electric and gas system planning procedures in response to Commission directives, FERC directives, and on its own initiative.

a. Commission Planning Proceedings

Q. What changes has the Commission ordered to the Company's planning procedures?

A. The Commission has initiated several proceedings to advance clean energy planning, including:

1. **Coordinated Grid Planning Process** (Case 20-E-0197): In this proceeding, the Commission approved a new long-term system planning process to identify transmission investments needed to meet the objectives of the CLCPA and to align them with efforts being undertaken by the NYISO through its bulk power planning processes. Con Edison's electric planning process is described in detail by the EIOP.
2. **Gas Planning Proceedings** (Cases 20-G-0131 & 23-G-0147): The Commission initiated the Statewide Gas Planning Proceeding (Case 20-G-0131) to evaluate opportunities to improve natural gas system planning and operational practices and to enable LDCs to meet evolving policy goals and customer expectations transparently and equitably. The Commission directed each gas utility to file long-term plans (over a 20-year planning horizon) that include a demand forecast; reflect the impact of demand-reducing investments and programs, including energy efficiency and electrification; evaluate supply resources; explain

how reliability will be forecasted and measured along with metrics that will be used to identify future reliability risks; address Non-Pipeline Alternatives ("NPAs"); and, where feasible, identify a "No Infrastructure Option" for meeting natural gas supply needs. Con Edison's Gas System Long-Term Plan (submitted jointly with Orange and Rockland Utilities, Inc.) was filed and considered under Case 23-G-0147.

3. **CLCPA Implementation Proceeding** (Case 22-M-0149): The Commission initiated this proceeding to assess progress towards CLCPA goals, identify policies that will enable achievement of CLCPA goals, and develop guidance for future planning. Among other things, the Commission required utilities to propose how to conduct an annual statewide GHG emissions inventory and to develop a proposal to study the GHG reductions impact of transitioning away from natural gas (including scale, timing, risks, uncertainties, and customer bill impacts of achieving significant and quantifiable GHG emissions reductions). The proceeding has also raised the issue of whether utility ownership of large-scale renewables should be allowed (this

question as it relates to large-scale renewables has more recently been examined in the Commission's Clean Energy Standard proceeding in Case 15-E-0302).

4. **Proactive Planning Proceeding** (Case 24-E-0364): The Commission initiated this proceeding to proactively plan for new electrification loads, including transportation and building electrification. A coordinated and orderly proactive approach to planning will help to address the emergent electrification needs of utility customers in a timely manner to support the achievement of New York State's ambitious clean energy policy goals. Shifting our planning mindset from just-in-time planning to proactive planning addresses the inherent timing mismatch between customer electrification loads, which can be added to the grid in just months, and buildout of the grid to support these loads, which can take up to ten years.

b. FERC Planning Proceedings

Q. What changes has FERC ordered to the Company's planning procedures?

A. FERC has initiated several proceedings to advance clean energy planning, including:

1. **Interconnection Proceeding:** FERC issued Order Nos. 2023 and 2023-A to address concerns regarding a growing backlog of generator interconnection requests across the country. Among other things, the orders impose strict study timelines and create the risk of financial penalties for utilities for missing deadlines. Con Edison along with other stakeholders contributed to the development of a NYISO compliance plan for the New York Control Area which has since been filed with FERC and is currently being implemented in the State. Driven by developers seeking to participate in the State's clean energy transition, there has been a substantial increase in interconnection requests submitted to the NYISO during the application window of the revised interconnection study process, including for projects seeking to connect in Con Edison's service territory. In 2024, Con Edison received 26 interconnection a 160% increase from the ten received in the 2023 Class Year study process.
2. **Regional Transmission Planning and Cost Allocation:** FERC recently issued Order 1920 and Order 1920-A, which established long-term planning requirements for

transmission providers while allowing for state regulatory participation in transmission planning and cost allocation efforts.

Q. Please describe the impact of FERC Order 1920/1920A on utility planning activities.

A. Order No. 1920 finds that the current planning process results in transmission providers investing in relatively inefficient or less cost-effective transmission infrastructure, with the costs ultimately recovered through Commission-jurisdictional rates. The order requires that transmission providers must conduct long-term (at least 20 years look-ahead) transmission planning every five years, taking into consideration at least three plausible scenarios of transmission system needs, laws and regulations, integrated resource plans, trends in fuel costs, retirements, interconnection requests and withdrawals, policy goals, and utility and corporate clean energy commitments. FERC staff explained that the order also requires transmission providers to measure seven types of benefits for evaluation and selection of the projects.

Order No. 1920-A generally affirmed Order 1920's electric transmission planning and cost allocation reforms. Among the relatively modest changes to Order No. 1920, Order 1920-A strengthened the states' role in Long-Term Regional Transmission Planning. FERC also will now consider *ex-ante* cost allocation methods agreed to by states, even if these differ from the methods proposed by the filing transmission providers. FERC also clarified that transmission providers can propose *ex ante* cost allocation methods that assign portions of a Long-Term Regional Transmission Facility's costs to reliability, economic, and public policy beneficiary groups.

Regarding planning, Order No. 1920-A sets aside, in part, the requirement to use seven categories of factors in Long-Term Regional Transmission Planning. For instance, the Order removes the requirement to consider corporate energy commitments from Long-Term Scenario Planning. The Order also specifies that identification of Long-Term Transmission Needs should rely on economic and reliability drivers.

Q. What, if anything, do the PSC and FERC planning proceedings illustrate in terms of the challenges of planning for the clean energy transition?

A. They illustrate the Commission's and FERC's view that the complex challenges raised by the clean energy transition cannot be adequately addressed using only traditional planning approaches, but instead require new approaches calibrated to the changing legal and policy environment.

Q. Does the Company agree with that assessment?

A. Yes, it does.

c. Modernize Gas Infrastructure and Reduce Emissions

Q. Why is the Company focused on reducing methane emissions?

A. Once emitted into the atmosphere, the global warming potential of methane is 86 times higher than that of carbon dioxide when modeled on the twenty-year time horizon for calculating global warming potential used in the CLCPA. The Company is committed to reducing potential fugitive methane emissions from its gas distribution system during normal operating activities and prior to end-use combustion.

Q. What changes has the Company made to its gas capital planning process to account for the clean energy transition?

A. The Company has made changes in compliance with the Commission orders we discussed earlier, as well as changes on its own initiative.

Q. Can you briefly summarize the changes the Company has made to comply with the Commission orders you previously discussed?

A. Pursuant to Commission orders issued in the CLCPA Implementation Proceeding (Case 22-M-0149) and the Statewide Gas System Planning Proceeding (Case 20-G-0131), the Company has undertaken significant planning efforts. First, in collaboration with the other New York gas distribution companies, the Company developed and submitted the Greenhouse Gas Emissions Reduction Pathways Study proposal on March 31, 2023, in Case 22-M-0149. This proposal, which is currently pending before the Commission, provides for an objective evaluation of decarbonization alternatives, including costs, risks, uncertainties, and barriers.

Second, the Company filed its first comprehensive Long-Term Gas System Plan in Case 23-G-0147. The Long-Term Gas System Plan addresses 20-year supply and demand forecasts, DR programs, availability of renewable natural gas ("RNG"), reliability standards, and proposed solutions to reliability and meeting demand, as well as exploration of a "no infrastructure" option and related NPA efforts, an NPA screening process, leak-prone pipe, and impacts to Low-to-Moderate Income ("LMI") customers and DACs.

Third, and also in collaboration with the other New York gas distribution companies, the Company developed a proposal for revising and updating emissions inventory reporting in Case 22-M-0149. This proposal identifies data sources and measurement issues that will be critical for monitoring New York State's progress in meeting the CLCPA's goals.

Q. What gas system planning changes has Con Edison made on its own?

A. The Company is adjusting its main replacement program strategy to focus more on areas of its system that are less likely to electrify.

Q. What is the Company's main replacement program?

A. The Company's main replacement program is the Gas Infrastructure Replacement or Reduction Program. It replaces or eliminates leak prone gas mains, defined as small diameter (12" and smaller) cast iron, wrought iron, and unprotected steel (pre-1972) mains. The program enhances safety, reduces emissions, and supports decarbonization.

Q. How does the program reduce emissions and support decarbonization?

A. By replacing or abandoning leak prone pipes, which have higher fugitive methane emissions. Methane is a potent GHG, with 20 to 80 times the global warming potential of CO2. Elimination of methane leaks, whether by pipe replacement or elimination, is a cost-effective strategy for reducing emissions.

Q. Does the Company try to simplify its gas system?

A. Yes, the Company plans to strategically decommission segments of the gas distribution system where feasible. This effort will include abandonment of redundant

facilities, as well as pursuing customer electrification opportunities on radial blocks of the gas system.

Q. How is the Company changing its main replacement program?

A. The Company is adjusting its planning strategy related to opportunistic main replacement projects (*e.g.*, projects undertaken in conjunction with municipal street resurfacing unrelated to Company work). The Company will consider whether there is a high likelihood of electrification at the location of potential opportunistic main replacement projects and factor that information into its decision on whether to undertake the project. The Company plans to do less of this type of work in areas where electrification is anticipated.

Q. How does the Company plan on identifying the areas of its service territory that are more likely to electrify?

A. The Commission has directed the Company to submit a definition of hard to electrify customers as part of the first Annual Update to its 2023 Gas Long-term Plan, which is due in May 2025. The Company's work on this definition will inform how it targets its main replacement work. In addition, the Company intends to consider the high-level

guidance provided in the Climate Action Council's Scoping Plan, *e.g.*, its finding that dense urban areas are likely to be among the areas of the state that will be most difficult to electrify.

Q. Does the Company plan on doing less main replacement overall because of this adjustment in its planning strategy?

A. No. As discussed in the Company's Gas Infrastructure and Operations Panel testimony, the Company proposes to maintain its current main replacement/reduction target of 80 miles per year. The Company notes that as work is shifted to higher-cost, hard to electrify areas, there will be increased unit costs.

Q. Is the Company's proposed approach consistent with the State's clean energy goals and, more specifically, with the goals of the CLCPA?

A. Yes. The Commission has consistently recognized the value of gas utility main replacement programs and the significant contributions these programs make to GHG emissions reductions.

d. Other Con Edison Actions to Reduce Gas System Emissions

Q. Other than changes to its gas planning process, what is Con Edison doing to reduce gas system emissions?

A. The Company has a gas methane capture program, uses AMI-Enabled Natural Gas Detectors, and has a Non-Pipeline Alternatives Program. The Company also provides existing and potential gas customers with information concerning alternatives to natural gas.

Q. What is the Gas Methane Capture program?

A. It is a program to identify sources of GHG emissions in the Con Edison gas system and capture them by using Zero Emissions Vacuum Units ("ZEVACs"), or other similar technologies.

Q. How does the Gas Methane Capture program reduce emissions?

A. When the Company works on gas mains, there is the potential for releases of natural gas, which includes methane. ZEVAC units can be used to mitigate methane emissions on larger volume pipe replacements by being attached to the standpipes used for purging and blowdowns and pumping gas from the pipe segment being replaced into the pipe remaining in service. Currently, Con Edison has

five ZEVAC Twin-D units and upon gaining operational experience with these units will purchase additional units.

Q. What are AMI-Enabled Natural Gas Detectors?

A. They are safety devices that continuously monitor the area where a gas service line enters a customer's building for methane, which would indicate a gas leak. When methane is detected, an alarm is triggered and information is sent through the Company's advanced metering infrastructure ("AMI") network to its Gas Emergency Response Center, which then dispatches emergency responders to address the potential gas leak.

Q. How do AMI-Enabled Natural Gas Detectors reduce methane emissions?

A. By enabling the early detection and repair of leaks, which is also important for customer and public safety.

Q. Please explain the Company's Non-Pipes Alternatives ("NPA") Program.

A. The Company has designed NPA policies, processes, and procedures in accordance with the Commission's *Order Adopting Gas System Planning Process* (issued in Case 20-G-0131), as well as the recently issued Commission order

in the Company's Gas System Long-term Planning Proceeding (Case 23-G-0147).

Q. Does the Company currently have any NPA programs?

A. Yes, the Company has developed three NPA programs: (1) the Electric Advantage Program (formerly named the "Whole Building Electrification Service Program"); (2) the Energy Exchange Program; and (3) the Area Load Relief Program.

Q. What is the Electric Advantage program?

A. Under the Electric Advantage Program customers currently connected to a targeted segment of main are incentivized to disconnect from the gas system by converting their current gas appliances or by replacing them with those that use electricity, thereby eliminating the need to replace the main.

Q. What has the Company done under the Electric Advantage Program?

A. Thus far, it has assessed approximately 300 opportunities and contacted customers at 235 buildings. The Company has completed electrification of 19 buildings across 14 different gas mains to date.

Q. What have been some of the challenges in implementing this program?

A. Successful NPA opportunities under this program are challenging, because in order for the Company to be able to abandon a segment of pipe, all customers served by a segment of pipe must agree to electrify their appliances. In about 50 percent of opportunities, one or more customers have declined to participate in the NPA. In about 20 percent of opportunities customers have been either non-responsive or non-committal when approached with the NPA offer. The remaining 30 percent of projects are in various stages of active discussion or installation.

Q. What is the Energy Exchange Program?

A. The Energy Exchange Program offers incentives to customers supplied by pre-1972 gas service lines to make the switch to electric appliances (instead of replacing the service line); this program is intended to complement other Con Edison programs, such as the Clean Heat Program.

Q. What has the Company done under the Energy Exchange Program?

A. The Energy Exchange Program is still relatively new, having launched in August 2024, and it initially targeted a select customer base of approximately 1,900 gas

customers, prioritized by low gas usage, past Clean Heat Program participation, and locations within a disadvantaged community ("DAC"). The Company plans to expand these initial efforts leveraging the customer feedback collected to improve the acquisition process going forward.

Q. What is the Area Load Relief Program?

A. The Area Load Relief Program seeks to identify areas of constraint across the Company's gas service territory and provide an alternative to otherwise necessary traditional distribution gas system reinforcements.

Q. What has the Company done under this program?

A. The Soundview Portfolio of the Area Load Relief Program successfully completed ten projects in a DAC, comprising eight multifamily gas energy efficiency projects, one residential space heating project, and one small business space heating project. The Soundview Portfolio of the Area Load Relief Program has been closed as a result of updated engineering analyses concluding that the original load growth necessitating infrastructure upgrades is no longer projected to materialize.

Q. Has the Company identified any new NPA opportunities under this program?

A. Due to the lack of forecasted system load growth, there are currently no new Area Load Relief NPA opportunities that have been identified and planned for implementation.

Q. Does the Company have other clean energy investments?

A. Yes, the Company has clean energy investments for Facilities.

Q. Can you please describe those programs?

A. The Company has an active energy efficiency program to reduce the carbon footprint of our existing facilities. The program consists of modernizing heating, ventilation, and air conditioning ("HVAC") equipment, replacing lighting along with automatic controls, tightening building envelopes, and promoting smart operational practices. Our energy efficiency program not only aligns with the Company's clean energy commitment but ensures compliance with New York City's energy efficiency laws, such as Local Laws 88 and 97. Concerning Local Law 88, which establishes standards for lighting upgrades, we are replacing all existing lighting at applicable facilities with energy-efficient LED lighting. Concerning Local Law 97, we are working with an energy consultant; the Company evaluated 19 of our facilities via ASHRAE Level II

equivalent studies to prioritize building improvements to reduce GHG emissions associated with energy usage in our buildings. The proposed projects are included in the Company's energy efficiency program. Some of the measures within these projects include the installation of building automation systems, improvements to building envelopes (*e.g.*, insulation, windows, and rapid closing overhead doors), upgrades to premium efficiency motors with variable frequency drives, and replacements of HVAC equipment and domestic water heaters with all-electric heat pump technology.

Since 2021, we have committed to construct all new Company-owned buildings so that they use only electric energy. The Company is making significant investments on integrating renewable energy into the electric grid. As such, all-electric buildings will have a lower carbon footprint than buildings operating on fossil fuels.

iv. Transform the Energy Supply

Q. What role does the Company see for low carbon fuels in meeting the State's greenhouse gas reduction goals?

A. Energy efficiency, electrification of end uses, and decarbonization of the electric grid are the primary

means that must be used to achieve New York's greenhouse gas reduction goals. Low carbon fuels, such as renewable natural gas, can reduce emissions during the transition to electrification, but should be targeted to hard to electrify energy uses in the long-term.

Q. In this gas rate case, is the Company making low carbon fuel investments?

A. Possibly. In Case No. 19-G-0066, the Company was required to interconnect renewable natural gas projects developed by market actors to its natural gas system. The Company is aware of two renewable natural gas projects in its service territory that are mature enough to potentially require interconnection in the next three years. However, as the projects will be developed by market actors, the timing and number of interconnections is uncertain.

Q. How is the Company proposing to recover its costs to interconnect renewable natural gas projects?

A. As discussed further in the Company's GIOP direct testimony, the Company is proposing to continue its existing authority to recover interconnection costs

through a surcharge mechanism until they can be incorporated into base rates in a future rate case.

Q. What other efforts related to low carbon fuels is the Company considering?

A. The Company's Gas System Long-term Plan envisions that low carbon fuels eventually may be used to help hard to electrify natural gas customers decarbonize their energy use. The Company will begin defining which customers are hard to electrify in the Annual Update to its Gas System Long-term Plan due in May 2025. The definition will build upon the high-level guidance provided in the Climate Action Council's Scoping Plan, which concludes that customers in dense urban areas, including Con Edison's steam customers, are hard to electrify. Once the definition has been more fully developed, the Company may seek to procure renewable natural gas, including environmental attributes, on behalf of its hard to electrify customers and/or offer a voluntary clean energy option for such customers. Acquisition of low carbon fuels for steam customers would be addressed separately in filings related to the Company's steam system.

C. **Reimagining the Gas System: Enhancing Gas System Planning Process**

Q. Is the Company requesting any funding in this rate filing related to the Commission's recent order in the Company's Gas System Long Term Planning Proceeding (Case 23-G-0147)?

A. Yes, the Company proposes to recover through a deferral mechanism the costs associated with the Commission's directive to develop a multivariable optimization process.

Q. Please describe the recently issued Commission directive in the Company's Gas System Long Term Planning Proceeding relating to the development of a multivariable optimization process for planning.

A. The Commission directs the Company to develop and use a "multivariable optimization process" to select a "preferred" pathway in its next long-term plan, which is due in August 2027. This process would seek to identify the pathway with the highest emissions reductions potential and lowest impact on affordability. It also anticipates that the process will be coordinated with the Company's electric and steam system planning.

Q. Does the Commission's directive include any additional instructions?

A. Yes. The order requires the Company to prepare a "no infrastructure case" separate from the pathways it developed in connection with the Company's 2023 gas long-term plan.

Q. Does the Company have a proposal to address these deliverables?

A. Yes, in this case, the Company is seeking authorization to purchase proprietary data, purchase or develop additional analytical tools, retain outside experts to assist with areas of the analyses beyond the Company's core expertise (*e.g.*, low carbon fuel market assessment), and/or hire additional staff that may be needed to oversee and perform work related to the process, as needed to prepare these deliverables.

Q. What is the cost associated with the Company's proposal?

A. The Company is still performing scoping regarding the project envisioned by the recent order and does not have a firm cost estimate yet. We expect that it will cost

approximately $10 million, with $7 million required in 2026 and $3 million in 2027.

Q. How is the Company proposing to recover costs associated with the project?

A. We are proposing to defer project costs for later recovery. The project was only recently mandated by the Commission and our planned approach and deliverables are still being scoped.

Q. Is the Company proposing any research and development ("R&D") initiatives that align with efforts to reimagine the gas system?

A. Yes. As discussed in more detail in the Company's Shared Services Panel direct testimony, Con Edison's R&D Department is sponsoring a GTI Energy Utilization Technology Development Research Collaborative ("UTD Research Collaborative"), which will provide the Company with opportunities to research viable alternative technologies that align with the goals of the CLCPA. The UTD Research Collaborative will also provide opportunities for Con Edison to work on developing new technologies to help the Company decarbonize its gas

system and reduce gas utilization, consistent with the Company's Clean Energy Commitment.

D. Environmental Justice/Remediating Environmental Impacts

Q. Is the Company proposing any projects or programs that address environmental justice or that seek to remediate existing environmental impacts?

A. Yes. As discussed in more detail in the direct testimony of the Company's Shared Service Panel, the Company is proposing a number of such programs, including:

- Disadvantaged Communities Environmental Justice program;
- Ecological Build with Tree Canopies project;
- Ecological Build with Oysters project;
- Biodiversity for Reliability, Community, and Ecological Value program;
- Living Shoreline project;
- Chem Lab Mobile Equipment and Vehicles program; and
- Worker Safety - Heat Mitigation program.

E. Federal/State Grants

Q. Has the Company applied for any Federal or State Grants to help offset customer costs, enable innovation, enable job creation, promote positive economic development, and benefit disadvantaged communities?

A. Yes, the Company monitors potential grant opportunities and looks to partner with other entities that may be able to take advantage of the incentives from Federal and State Grants. The Company's new Utility Business Strategy and Innovation ("UBSI") Department is developing a small grant section dedicated to this effort.

Q. Can the Company provide a brief overview of its efforts?

A. Yes, the following provides a status update of recent and ongoing significant grant efforts:

IIJA Section 40101(c) – Preventing Outages / Enhancing Resilience of the Electric Grid: In April 2024 (Round 2), Con Edison submitted an application seeking $100 million for Grid Resilience and Innovation Partnerships (GRIP) Topic 1 and was not selected. Across all three topics eligible for funding, DOE received 325 applications and only 14 Investor-owned utility applications from across the entire country were selected for awards under Topic 1

(~4%). No New York State Investor-owned utilities were selected. Round 3 Funding Opportunity Announcements were expected in the Spring of 2025 with awards covering Fiscal Year 2026 only. However, the new Federal Administration has paused such grants until a review is completed by the end of April 2025.

IIJA Section 40107 – Deploy Technologies to Enhance Grid Flexibility / Smart Grid: In May 2024 (Round 2), Con Edison submitted a joint application by partnering with Orange and Rockland Utilities, Inc. ("ORU"). Con Edison requested $79.3 million in federal funding while ORU requested $8.3 million in federal funding seeking a total of $87.6 million for GRIP Topic 2. Con Edison and ORU's joint application was not selected. Across all three topics eligible for funding, DOE received 325 applications and only 15 Investor-owned utility applications from across the entire country were selected for awards under Topic 2 (~5%). No New York State utilities were selected. Round 3 Funding Opportunity Announcements were expected in the Spring of 2025 with awards covering Fiscal Year 2026 only. However, the new Federal Administration has paused such grants until a review is completed by the end of April 2025.

IIJA Section 41001/Energy Act 2020 Section 3201 – Long Duration Energy Storage Demo: In October 2024 (Round 2), Con Edison submitted a concept paper to DOE for $20 million in funding for Energy Storage Pilot Demonstrations; and is pursuing the full application, due March 14th, 2025. However, the new Federal Administration has paused such grants until a review is completed by the end of April 2025.

DOE Cybersecurity, Energy Security, and Emergency Response (CESER) - ALL HAZARDS RESILIENCE: In March 2024, Con Edison requested $2.5 million for pole-top sensors to advance operations for Hyper-Local Incident and Weather Sensing Technology but was not selected for award.

New York State Energy Research and Development Authority (NYSERDA) Program Opportunity Notice (PON) 5779 – Long Duration Energy Storage Technology and Product Development: In September 2024, Con Edison applied for $5.35 million in state funds to put towards the federal Long Duration Energy Storage Demo project described above and was notified by NYSERDA of being selected for an award contingent upon successful contract execution, federal grant receipt, and rate case approval. The Company is in the process of

communicating with NYSERDA as to future of this grant if the new Federal Administration cancels its associated funding opportunity.

DOE Office of EERE – Connected Communities

2.0: Innovations to Manage Growing Transportation, Building, and Industrial Loads to the Grid: In October 2024, Con Edison submitted a grant application for $6 million for a geothermal pilot with two ground loops and an energy center serving 76 buildings. Con Edison also submitted an additional application for $6 million to convert buildings onto waste heat recovery driven closed hot water loops to use the by-product steam condensate for heating and hot water in adjacent buildings. The Company was not selected for these awards.

Con Edison is working diligently to take advantage of federal and state funding to offset customers' costs for transformational investments and improve energy delivery systems for the future. Managing and administering a grant after its award is critical for compliance with the issuing entity's requirements, necessary for accurate accounting and regulatory reporting, necessary for carrying out the

community benefits plan, and essential for the successful coordination across the many parties involved.

Q. What is the Company doing to realize grant funding and to assist with the management and compliance requirements for any grants it receives in the upcoming rate plan?

A. The aforementioned UBSI Department currently has two FTEs who monitor grants and submit applications in addition to performing other non-grant related work.

The Company is requesting the addition of one FTE Project Manager added to the UBSI Department. This FTE would manage all aspects of the required grant administration upon award and would be the liaison between the Company's field operations/engineering groups, contractors/vendors, sub-recipients, UBSI, the Company's Finance Department, and the grant issuing agency representatives. This FTE would reconcile the grant award amount against the last rate case's revenue requirement with the Department of Public Service Staff. For more information on this proposed FTE please see the Company white paper in Exhibit ___ (SSP-4) addressing additional FTEs for the Company's Strategic Planning Department.

Q. Is the Company proposing to use any external resources to assist with grant-related work?

A. Yes. Due to the highly competitive nature of grant submittals, dedicated external grant application and consultation expertise will also be required.

As the Company pursues and receives federal and state grants that span multiple years, the Company will require additional outside counsel legal support, grant application consultant services, and independent auditor/compliance certification services support; all for the successful application, administration, and tracking compliance required by the federal and state governments issuing the grants.

Q. Can the Company provide an estimate for the foregoing incremental O&M costs?

A. For illustrative purposes, the estimated annual O&M costs for the Rate Plan is under the assumption the Company wins two small/medium grants ($1 million to $10 million) and one large grant ($11 million to $100 million) for each year over the three-year Rate Plan. Such grants may extend beyond the Rate Plan, but the annual estimates, not

including the foregoing additional FTE Project Manager, for completed and in-flight Rate Plan grants are as follows:

- Incremental Outside Counsel Legal Support for grant applications and contract/agreement services at $150,000 in RY1, $160,000 in RY2, and $170,000 in RY3.
- Grant Application Consultant and Independent Auditor/Compliance Certification services at $495,000 in RY1, $510,000 in RY2, and $525,000 in RY3.

The aforementioned expense elements total $645,000 for RY1, $670,000 for RY2, $695,000 for RY3, and $2,010,000 for the Rate Plan for the total nine grants assumed (six small/medium grants and three large grants). These estimates can increase or decrease depending on the actual amount of federal and state grants awarded to the Company.

Q. What is the basis for these estimates?

A. The incremental FTE Project Manager salary estimate is commensurate with the Company's Compensation Department's salary range for this title. The incremental outside counsel cost estimate was based on an assumed number of hours of support for the three assumed illustrative grants, multiplied by an hourly rate for this legal specialty.

Consultant and independent auditor estimates were based on budget quotes from a vendor.

Q. Are all these incremental grant related expenses included in the Company's Revenue Requirement?

A. No. While the FTE request is included in the Revenue Requirement, the incremental Outside Counsel Legal Support along with the Grant Application Consultant and Independent Auditor/Compliance Certification services are not in the Company's requested Revenue Requirement. The Company requests authorization to defer the latter two costs in the event the grants are awarded.

Q. Will there be a need for the foregoing incremental FTE and expenses if the new Federal Administration does not provide any new awards in the near term?

A. Yes, the Company often applies for state grants and will continue to partner with other entities such as universities, national laboratories, companies, and organizations such as the Electric Power Research Institute to study, demonstrate, and execute on new and emerging technology, innovation, and development for the benefit of safety and security (physical and cyber), system

reliability, storm resilience, system optimization and efficiency, and emissions reductions. The Company often evaluates letters of support and occasionally provides in-kind assistance with its subject matter experts to various entities applying for grants that may benefit the Company's customers and New York State, generally. The Company also believes the new Federal Administration will retain or develop grant programs in the foregoing areas and in particular the area of preventing and mitigating wildfires.

IV. CLCPA Rate Case Requirements

Q. Has the Commission determined whether the CLCPA has requirements that apply to utility rate cases?

A. Yes. In a 2021 National Grid Order (Order Approving Joint Proposal, As Modified, And Imposing Additional Requirements; Case 19-G-0309 et al.; August 12, 2021; p. 69) ("National Grid Order"), the Commission determined that CLCPA sections 7(2) and 7(3) apply to utility rate cases. The Commission stated that section 7(2) requires it to determine whether its rate orders are consistent with statewide emissions limits or otherwise sufficiently mitigated and that section 7(3) requires that its rate orders do not disproportionately burden DACs. The

Commission has reiterated this determination in each of the base rate case orders it has issued after the National Grid Order.

Q. Has the Commission said anything about how it will apply sections CLCPA sections 7(2) and 7(3)?

A. Yes. In the CLCPA Implementation Order (Order on Implementation of the Climate Leadership and Community Protection Act; Case 22-M-0149; May 12, 2022; p. 11), the Commission stated:

> In meeting the CLCPA's goals and targets, the Commission will continue to fulfill its core mission of ensuring that utilities can provide safe and adequate service at just and reasonable rates. Recognizing the Commission's responsibility to ensure safe and reliable service during the State's transition to a decarbonized electric sector, the CLCPA is clear that the Commission's evaluation under CLCPA §7(2) and (3) will be made in that context. Indeed, the Commission firmly believes that the transition to an emissions-free grid will occur only if the electric system remains reliable throughout the transition.

A. Greenhouse Gas Emissions

Q. Do Con Edison's electric and gas rate filings in these proceedings give the Commission a basis to make the required CLCPA findings related to greenhouse gas emissions?

A. Yes. The Company's proposed investments and programs – summarized here and described in further detail in the testimony and white papers of the respective operational panels – will enable the Commission to determine that the Company's overall proposed electric and gas rate plans comply with the CLCPA.

Q. How does the Company estimate systemic GHG emissions reductions and the impacts of individual projects?

A. Con Edison's GHG emissions calculations related to our natural gas distribution system are consistent with the calculation methodology outlined by the JU in their December 1, 2022, GHG Emissions Inventory Proposal (as supplemented by the JU's May 31, 2023 filing), filed in Case 22-M-0149, *Proceeding on Motion of the Commission Assessing Implementation of and Compliance with the Requirements and Targets of the Climate Leadership and Community Protection Act*. This methodology has been used by several utilities (including by Orange and Rockland Utilities, Inc. in Cases 24-E-0060 and 24-G-0061) to calculate their GHG emissions in various Commission proceedings.

Q. What are the Company's annual electric and gas distribution system GHG emissions?

A. The Company's annual electric and gas distribution system fugitive GHG emissions (2023) are approximately 660,000 MT CO2e. This includes direct emissions from the natural gas distribution system and electric system SF6 emissions.

Q. What are the direct impacts of the Company's proposed projects and programs in these rate filings?

A. The Company's proposed projects and programs result in an estimated net reduction in GHG emissions of over 39,000 MT CO2e. The Company's emissions impact estimates are performed on a per program or project basis, when applicable. The results are aggregated into the net result. This estimate is conducted with the Natural Gas Sustainability Institute methodology and emissions factors for GHG inventory, as well as 40 CFR Part 98, Subpart W, Table W-7. The Company's estimated direct GHG impacts are set forth in greater detail in Exhibit ___ (CETP-2), Schedule 1.

Q. Are there any anticipated indirect GHG emissions impacts resulting from the Company's proposed projects and programs?

A. Yes. Indirect emissions are those beyond the Company's control, which are dependent on the behavior of its customers. Indirect emissions can be avoided through Company programs designed to help customers decarbonize (*e.g.*, Clean Heat programs or EV Make Ready programs) or by customer adoption of clean energy technologies without any program participation, but which nonetheless need to be served through the Company's grid. Anticipated indirect GHG emissions reductions are approximately 7 million MT CO2e and are set forth in Exhibit ___ (CETP-2), Schedule 2.

B. Disadvantaged Communities

Q. Please describe the Company's efforts to ensure its investments benefit disadvantaged communities.

A. Sixty percent of statewide designated disadvantaged communities are found in New York City. Con Edison is positioned to invest in projects and initiatives that will help to improve quality of life, reduce emissions, and promote infrastructure resiliency and reliability in these

communities. In 2024, Con Edison released its first Annual DAC Report that covers how Company operations affect DACs. A copy of this report is attached as Exhibit ___ (CETP-3). The Company is also building Clean Energy and Tech Careers by supporting education resources, programs and alliances that help high school, college, and trade school students with the skills and competencies for green, clean energy careers.

Q. Please describe the Company's Annual DAC Report.

A. Under the current Rate Plan, the Company is required to annually file a detailed and comprehensive report that summarizes the investments and other impacts the Company has made in DACs within the Con Edison service area. DACs were identified by the State based on a number of health, energy, and economic criteria. The report is based on data from calendar year 2023. Data featured in the report include: total investments; participation in programs and energy savings achieved; total make-ready installations; total number of DER projects; strategic electric capital investments; customer outages; footage of leak-prone gas pipe replaced and number of repairs conducted; metrics on workforce development; enrollment, marketing and outreach metrics associated with the Energy Affordability Program

("EAP"); total energy usage; arrears; and total number of customers in DAC and non-DAC census tract areas.

Q. What were the notable findings in the report?

A. The 2023 data shows that customers in disadvantaged communities accounted for:

- 49 percent of Con Edison's Clean Energy Spending investments;
- 40 percent of the company's strategic electric capital investments;
- 31 percent of demand response program participants; and
- 32 percent of distributed energy resource projects.

Q. Is it the Company's expectation that similar levels of positive DAC impacts will be seen going forward?

A. Most of the initiatives the Company is proposing in these rate filings are programmatic and continue in much the same manner as they have been implemented in the past. Therefore, there is a reasonable expectation that similar DAC impacts will be seen going forward. However, it bears emphasizing that these expectations will not be the guide for the Company's future actions. Rather, the Company will review and assess the findings in the Annual Reports over

an appropriate period to determine what, if any, adjustments may be needed.

Q. Do Con Edison's electric and gas rate filings in these proceedings give the Commission a basis to determine that they do not disproportionately burden disadvantaged communities?

A. Yes. Based on the advice of counsel, it is the Panel's understanding that the disproportionate "burden" the CLPCA prohibits flows from the potentially negative environmental consequences imposed by the addition of new infrastructure. In approving rate settlements under the CLCPA, the Commission has consistently cited the benefits disadvantaged communities receive from the provision of safe and reliable service at just and reasonable rates.

Q. Do the Company's proposed programs benefit disadvantaged communities?

A. Yes. The Company testimony and supporting white papers of each of the respective operating areas proposing investments provide additional details regarding the safety, reliability, environmental and customer service benefits of these investments. In addition, this testimony discusses other benefits disadvantaged

communities receive from the Company's work in other Commission proceedings.

V. Other Con Edison Actions to Advance Clean Energy

Q. Has the Company been taking actions to advance the clean energy transition outside of this investment plan?

A. Yes, the Company has been advancing in various ways the clean energy transition. Below, we highlight some of the Company's actions taken in various PSC proceedings over the last decade.

A. PSC Proceedings Prior to the Enactment of CLCPA

Q. Please describe some of the Company's clean energy efforts in PSC proceedings initiated prior to the enactment of the CLCPA.

A. Prior to the enactment of the CLCPA, the Commission had already begun to implement objectives of the clean energy transition through various proceedings.

1. **Reforming the Energy Vision ("REV")** (Case 14-M-0101): Under this proceeding, the Company has initiated a number of projects to support our transition to a cleaner, more resilient, and affordable energy system.

Examples include projects with the following benefits: support vehicle electrification; increase access for low- and moderate-income customers to DERs; and optimize total costs of ownership associated with the electrification of medium- and heavy-duty vehicles. Under the Curbside EV Charging project, the Company and its partners, including the New York City Department of Transportation ("NYC DOT"), are operating 118 Level 2 EV chargers across New York City. This demonstration project seeks to determine whether curbside charging on public right-of ways is acceptable to surrounding communities and attractive to EV infrastructure investors as well as EV drivers. The Company has also proposed the Community Power program. Under this program, Con Edison seeks to increase the access of low- and moderate-income ("LMI") customers to distributed energy resources, such as solar-powered generation. LMI participants would manage their energy bills with credits based on the production of the program's solar arrays. In addition, the program would offer paid solar apprenticeships and job placement support for up to 15 to 30 low-income New Yorkers. The Company is also implementing a project to optimize costs related to the electrification of medium- and heavy-duty

vehicles ("MHDV"). Generally, the total cost of ownership of electric trucks and buses, versus fossil fuel based ones, are a significant obstacle to the electrification of such vehicles. Under this project, the Company will quantify cost savings related to different technologies and operational measures. As a result, the project may provide a path for owners of MHDVs to fleet decarbonization, which aligns with various clean energy policy goals.

2. **New Efficiency: New York** (Case 18-M-0084): In this proceeding, the Commission set energy savings targets for utilities to support the achievement of CLCPA building decarbonization goals through energy efficiency (EE) and building electrification (BE) programs. These programs support the reduction of greenhouse gas emissions in buildings, provide clean heating alternatives to customers, support low- and moderate-income ("LMI") customers and DACs, and help customers manage their energy use.

The Company is currently authorized to deliver EE/BE programs in its territory for the period between 2020-2025. Since 2020, Con Edison has delivered approximately 14 million MMBtu in aggregate of annual energy savings

and has helped thousands of customers manage their energy bills. In 2023, CECONY provided over $260 million in incentives to electric and gas customers for heat pumps, efficient HVAC, lighting, building management systems, and other equipment. Based on these incentives and energy-saving equipment, electrical usage was reduced by 394 thousand megawatt hours and gas by 2.4 million dekatherms. These results are equivalent to eliminating the emissions from 74 thousand cars or powering 43 thousand homes for one year. Notably, more than 5,500 customers installed heat pumps through the Company's Clean Heat Program in 2023, which contributed 670 billion British Thermal Units of energy savings. (Note that final 2024 portfolio results were not available at the time of this filing and will be filed on March 3, 2025, in Case 18-M-0084.)

3. **Electric Vehicle Supply Equipment** (Case 18-E-0138): Under this proceeding, the Commission initiated an operating cost support program for EV fast-charging stations, set targets and budgets for the buildout of EV charging infrastructure for cars (light-duty), trucks and buses (medium- and heavy-duty), and smaller vehicles like e-bikes (micromobility), and authorized residential

managed charging programs. Con Edison launched its initial PowerReady EV infrastructure incentive program for light-duty vehicles in 2020. The program continues to expand access to EV charging for all vehicle classes by supporting the development of widespread and visible charging stations across the Company's service area, including charging hubs, retail locations, apartment buildings, and workplaces. Notably, Con Edison's PowerReady program is the country's largest utility program providing incentives for EV infrastructure.

4. **Energy Storage** (Case 18-E-0130): Through 2024, Con Edison interconnected a total of 721 distribution-connected customer energy storage systems, totaling 90.4 MW of capacity. In 2019, the Company commissioned its first utility-owned storage project, a lithium-ion phosphate battery designed for 2 MW / 10 MWh in Ozone Park, Queens. The facility is used to meet peak local demand and reliability needs. In 2023, Con Edison commissioned a utility-owned BESS with a capacity of 7.5 MW / 30 MWh at a Staten Island substation, and the Company is currently building a 5.8 MW / 23 MWh BESS to support the Brownsville load area for summer 2025. Finally, the Company's Non-Wires Solutions ("NWS") are

supporting and incentivizing third-party owners and operators of energy storage to meet local demand. Con Edison's NWS portfolios have interconnected 11 MW of energy storage through 2024.

B. PSC Proceedings After the Enactment of CLCPA

Q. Please describe some of the Company's clean energy efforts in PSC proceedings initiated after the enactment of the CLCPA.

A. The Commission has also implemented clean energy objectives through various proceedings after the enactment of the CLCPA.

1. **Utility Thermal Energy Networks** (Case 22-M-0429): The Commission initiated this proceeding to implement the Utility Thermal Energy Network and Jobs Act of 2022. The Act advances building decarbonization through the creation of utility-scale thermal energy networks. A utility thermal energy network ("UTEN") is a system of water-filled pipes owned by Con Edison that transfer heat energy between thermal resources, such as geothermal boreholes and customer buildings. Heat pumps transfer heat from the UTEN into a building for space and water heating and transfer heat out of a building into the UTEN

for cooling. Con Edison has proposed three unique UTEN projects and plans to complete the design phase for these projects in Fall 2025. Our Chelsea and Mount Vernon projects will support customers in DACs, while our Rockefeller Center project will help convert three large commercial buildings in midtown Manhattan to UTEN-connected heat pumps.

2. **Medium- and Heavy-Duty Electric Vehicle Charging Infrastructure** (Case 23-E-0070): The Commission initiated this proceeding to address the electrification needs of the State's medium- and heavy-duty ("MHD") EV sector. The proceeding will develop programs to support MHD EV charging infrastructure to meet CLCPA goals as well as other regulations, such as the State's Electric School Bus Mandate. Con Edison has presented at technical conferences and is expanding its advisory services offerings.

C. Clean Energy Investments and Program Proposals

Q. What additional efforts is the Company engaged in to support the achievement of the CLCPA's goals?

A. The Company is engaged in numerous activities supporting the CLCPA's goals, including Energy Efficiency and Building

Electrification ("EE BE") programs, various EV programs, and the integration of storage.

Q. Please summarize the Company's EE BE efforts.

A. The Company supports the clean energy objectives set forth in the CLCPA and is committed to advancing towards these goals through its EE BE portfolio of programs. These programs focus on delivering greenhouse gas emission reductions, supporting LMI customers and communities, providing clean heat through the electrification of space and hot water heating, and offering customers greater control over their energy use. The Company's energy efficiency portfolio, which is organized by customer segment – residential, multifamily, and commercial and industrial – provides a variety of incentives to electric and gas customers. Since 2020, the Company has delivered approximately 169 million MMBtu in lifetime energy savings across its EE BE portfolio. Additionally, Con Edison's Clean Heat program has supported the transition to electric space and water heating of over 35,000 projects since its inception in 2020.

Q. Please continue by summarizing the Company's EV efforts.

A. The Company is committed to advancing CLCPA goals and delivering a clean energy future to its customers. The Company supports the buildout of a widespread and visible EV charging network through its make-ready Program, PowerReady, providing incentives to offset electric infrastructure costs associated with installing chargers across a wide range of vehicle classes, including electric bikes, cars, trucks, and buses. Since 2021, the Company has supported installation of nearly 12,000 new charging plugs, representing a six-fold increase in available charging plugs.

The Company also offers managed charging programs, such as SmartCharge New York focused on EV drivers, and SmartCharge Commercial, focused on charging stations, to help mitigate the impact of EV charging on the grid while providing drivers and stations with operating cost support to further spur EV adoption in the Company's service area. Additionally, the Company offers a load management technology incentive program, SmartCharge Tech, to support customer adoption of load management technologies for participants in the managed charging program. To date the

company has enrolled 25% of the cars on the road in its SmartCharge New York program.

Q. Please start by summarizing some of the direct investments in energy storage the Company is planning in the rate years.

A. The Company will continue to invest in utility integrated battery energy storage systems where feasible and beneficial. The Company will continue to incentivize energy storage through non-wires solutions programs as needed.

Q. Is the Company planning any investments in solar generation in support of the CLCPA's goals?

A. Currently the Company is not planning any direct investment in solar generation.

Q. Please summarize the Company's plans to meet its obligation to deploy bulk-level energy storage.

A. The Company has been conducting competitive Utility Dispatch Rights solicitations since 2018 for contracts with third party owned projects up to 15 years in length that entitle the Company to dispatch the asset for both grid and wholesale market applications. The program is open to both

distribution and transmission system connected projects. Currently the Company has contracted for 115 MW of capacity and has released a fourth procurement in December 2024.

Company owned Utility Integrated Storage projects such as Fox Hills will participate in wholesale markets in addition to serving distribution functions.

Q. Do the clean energy projects described in this section benefit DACs?

A. Yes.

Q. Please continue.

A. The Company continues to prioritize energy efficiency investment in LMI and disadvantaged communities ("DACs"): in 2023, 49% of NENY program incentives went to customers in DACs. Con Edison offers targeted support for customers in DACs by offering higher incentive levels than those for market-rate participants, streamlining program design, and targeting marketing and outreach. To date, the Company has spent approximately $90 million to support over 183,500 thousand participants in the Affordable Multifamily Energy Efficiency Program ("AMEEP") Program.

A portion of the EV make ready incentive budget, 20% for Level 2 and 25% for Direct Current Fast Charging, are dedicated to serving disadvantaged communities with enhanced incentives; as of 2024 year-end, a nearly 40% of charging plugs installed under the PowerReady program were located in these communities.

The deployment of storage is designed to improve resiliency and reliability for all customers, including those living in DACs. In addition, the deployment of storage helps support the deployment of renewables which can lead to reduction of local source pollution in DACs.

Q. Does this conclude the Panel's direct testimony?

A. Yes, it does.